HSBC Global Investment Research

31 July 2026

Microsoft (MSFT US)

Buy: Two-pronged AI monetization is delivering

Equities
Software

United States

- Strong 4QFY26 results demonstrate that Microsoft is a key player as AI diffuses across its vast global customer base
- Strong Azure and Copilot results as momentum is increasing
- TP increased to USD595 (from USD567) on higher estimates; maintain Buy on business momentum and valuation

Strong 4QFY26 results: Revenue came in at USD90,007m, growing 17.7% y-o-y, and was above HSBC (USD89,314m) and consensus (USD 87,705m) estimates. Non-GAAP operating margin came in at 45.11%, expanding 0.21pp y-o-y and was above HSBC (44.88%) and consensus (44.44%) estimates. Non-GAAP EPS was strong, coming in at USD4.74, up 29.9% y-o-y and above HSBC (USD4.39) and consensus (USD 4.26) estimates. The % beat on non-GAAP EPS is bigger than on non-GAAP operating profit due to higher-than-expected other income. 1QFY27 non-GAAP operating profit guidance of USD43,850m is above pre-results consensus of USD42,704m, but slightly below the pre-results HSBC estimate of USD44,299m.

Strong performance from Azure: 4QFY26 Azure growth came in at 43% y-o-y (constant currency), well ahead of the previous company guidance of 39-40% growth. Notably, Microsoft expects Azure growth to accelerate to 45% y-o-y (cc) in 1QFY27, and we expect Azure growth to remain in the mid-40% range through 2028e. We expect capex of USD228bn and USD251bn in FY27e and FY28e, respectively, to support growing market demand, which continues to outperform our expectations. We estimate Microsoft will continue to earn a healthy 13-15% pre-tax ROIC on its cloud capex and see the potential for improvement as the inference mix improves.

FCF to bottom in FY27e: Microsoft cosmetically cut its 2HCY26 implied capex guidance by 12% to USD107bn on accounting changes, while leaving the underlying guidance unchanged. This could be seen as a positive by the market after Google and Meta both raised capex guidance. Microsoft expects capex to rise further in FY27 but expects its FCF to remain positive.

Signs of improving direct AI monetization: Microsoft 365 CoPilot users increased to 30m in 4QFY26 from 20m in 3QFY26 (2QFY26: 15m). We estimate Microsoft could be earning USD6.4bn ARR from CoPilot users. Despite the q-o-q surge, CoPilot users account for only c5% of total M365 subscribers, suggesting a long runway of growth. We think investors have focused on a lack of CoPilot traction in the past and that recent CoPilot momentum is a strong near-term positive for the stock.

Attractive valuation: Microsoft shares are trading at 17.3x CY27e non-GAAP PE (in line with sector median). We expect Microsoft's non-GAAP EPS to rise at a CY26- 28e CAGR of 20.3% (sector median 18.8%). Our TP of USD595 (from USD567) is based on 29x (unchanged) our NTM non-GAAP EPS estimate of USD20.51 (from USD19.56). Our TP implies 52.4% upside and we maintain our Buy rating.

MAINTAIN BUY

TARGET PRICE (USD)	PREVIOUS TARGET (USD)
595.00	567.00

SHARE PRICE (USD)	UPSIDE/DOWNSIDE
390.54	+52.4%

(as of 29 Jul 2026)

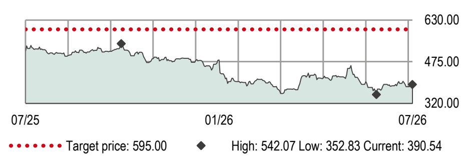
MARKET DATA

Market cap (USDm)	2,899,973	Free float	100%
Market cap (USDm)	2,899,973	BBG	MSFT US
3m ADTV (USDm)	15,652	RIC	MSFT.O

FINANCIALS AND RATIOS (USD)

Year to	06/2026a	06/2027e	06/2028e	06/2029e
HSBC EPS	17.28	20.51	25.15	29.76
HSBC EPS (prev)	16.93	20.59	25.15	na
Change (%)	2.1	-0.4	0.0	na
Consensus EPS	16.80	19.39	22.77	26.55
PE (x)	22.6	19.0	15.5	13.1
Dividend yield (%)	0.9	1.0	1.1	1.2
EV/EBITDA (x)	14.8	11.8	9.2	7.3
ROE (%)	32.8	30.5	29.3	27.2

52-WEEK PRICE (USD)



Source: LSEG IBES, HSBC estimates

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Financials & valuation: Microsoft

Buy

Financial statements

Year to	06/2026a	06/2027e	06/2028e	06/2029e
Profit & loss summary (USDm)				
Revenue	331,839	402,719	501,990	610,007
EBITDA	193,771	246,340	314,930	392,492
Depreciation & amortisation	-38,534	-56,154	-83,062	-113,684
Operating profit/EBIT	155,237	190,186	231,868	278,809
Net interest	0	0	0	0
PBT	165,934	185,098	225,309	272,306
HSBC PBT	159,404	190,698	231,309	278,306
Taxation	-32,185	-37,020	-42,809	-51,738
Net profit	133,749	148,079	182,500	220,568
HSBC net profit	128,786	152,559	187,360	222,645
Cash flow summary (USDm)				
Cash flow from operations	182,935	233,103	302,110	375,320
Capex	-115,948	-228,000	-250,800	-288,420
Cash flow from investment	-139,500	-228,000	-250,800	-288,420
Dividends	-26,445	-29,031	-31,992	-35,335
Change in net debt	14,865	42,928	-9,318	-41,564
FCF equity	66,987	5,103	51,310	86,900
Balance sheet summary (USDm)				
Intangible fixed assets	138,260	138,260	138,260	138,260
Tangible fixed assets	412,406	606,485	798,741	998,676
Current assets	207,710	207,008	267,327	336,366
Cash & others	76,843	45,915	67,233	96,798
Total assets	758,376	951,753	1,204,328	1,473,303
Operating liabilities	275,695	340,916	420,902	502,244
Gross debt	40,294	52,294	64,294	52,294
Net debt	-36,549	6,379	-2,939	-44,504
Shareholders' funds	442,387	558,543	719,132	918,765
Invested capital	405,838	564,922	716,192	874,261

Ratio, growth and per share analysis

Year to	06/2026a	06/2027e	06/2028e	06/2029e
Y-o-y % change				
Revenue	17.8	21.4	24.7	21.5
EBITDA	19.1	27.1	27.8	24.6
Operating profit	20.8	22.5	21.9	20.2
PBT	34.2	11.5	21.7	20.9
HSBC EPS	24.2	18.7	22.6	18.3
Ratios (%)				
Revenue/IC (x)	1.0	0.8	0.8	0.8
ROIC	35.9	31.3	29.3	28.4
ROE	32.8	30.5	29.3	27.2
ROA	19.4	17.3	16.9	16.5
EBITDA margin	58.4	61.2	62.7	64.3
Operating profit margin	46.8	47.2	46.2	45.7
EBITDA/net interest (x)				
Net debt/equity	-8.3	1.1	-0.4	-4.8
Net debt/EBITDA (x)	-0.2	0.0	-0.0	-0.1
CF from operations/net debt		3654.5		
Per share data (USD)				
EPS Rep (diluted)	17.94	19.91	24.50	29.49
HSBC EPS (diluted)	17.28	20.51	25.15	29.76
DPS	3.55	3.90	4.29	4.72
Book value	59.35	75.10	96.53	122.82

Key forecast drivers

Year to	06/2026a	06/2027e	06/2028e	06/2029e
Revenue growth, yoy, %	17.8	21.4	24.7	21.5
HSBC EPS growth, yoy, %	24.1	18.7	22.6	18.3
Gross margin, %	67.9	67.3	66.3	65.3
Operating margin, %	46.8	47.2	46.2	45.7

Valuation data

Year to	06/2026a	06/2027e	06/2028e	06/2029e
EV/sales	8.6	7.2	5.8	4.7
EV/EBITDA	14.8	11.8	9.2	7.3
EV/IC	7.1	5.1	4.0	3.3
PE*	22.6	19.0	15.5	13.1
PB	6.6	5.2	4.0	3.2
FCF yield (%)	2.3	0.2	1.8	3.0
Dividend yield (%)	0.9	1.0	1.1	1.2

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	06/2026a
GHG emission intensity*	n/a
Energy intensity*	n/a
CO_2 reduction policy	Yes
Social Indicators	**06/2026a**
Employee costs as % of revenues	n/a
Employee turnover (%)	n/a
Diversity policy	Yes

Governance Indicators	06/2026a
No. of board members	12
Average board tenure (years)	n/a
Female board members (%)	41.7
Board members independence (%)	91.7

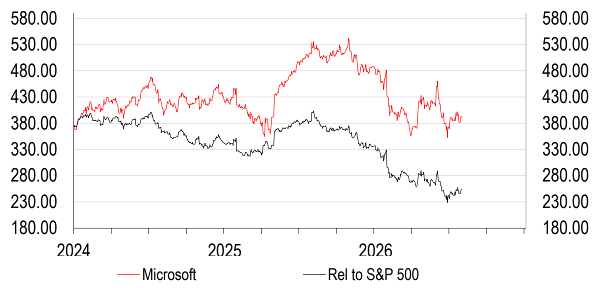
Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (USD)	390.54	Free float	100%
Target price (USD)	595.00	Sector	Software
RIC (Equity)	MSFT.O	Country/Region	United States
Bloomberg (Equity)	MSFT US	Analyst	Stephen Bersey
Market cap (USDm)	2,899,973	Contact	+1 212 525 4153

Price relative



Source: HSBC

Note: Priced at close of 29 Jul 2026

Strong 4QFY26 results

Microsoft 4QFY26 results: Actual vs estimates

USDm, FYe June, Non-GAAP	4Q26a	HSBCe	vs HSBCe	Consensus	Vs Consensus	4Q25	y-o-y	3Q26	q-o-q
Revenue	**90,007**	**89,314**	**0.8%**	**87,705**	**2.6%**	**76,441**	**17.7%**	**82,886**	**8.6%**
Gross profit	60,482	60,481	0.0%	58,500	3.4%	52,427	15.4%	56,058	7.9%
Gross margin	67.2%	67.7%	-0.52pp	66.7%	0.5pp	68.6%	-1.39pp	67.6%	-0.44pp
Operating profit	**40,603**	**40,087**	**1.3%**	**38,976**	**4.2%**	**34,323**	**18.3%**	**38,398**	**5.7%**
Operating margin	45.1%	44.9%	0.23pp	44.4%	0.67pp	44.9%	0.21pp	46.3%	-1.22pp
Net income	**35,286**	**32,664**	**8.0%**	**31,584**	**11.7%**	**27,233**	**29.6%**	**31,792**	**11.0%**
Net margin	39.2%	36.6%	2.63pp	36.0%	3.19pp	35.6%	3.58pp	38.4%	0.85pp
Diluted EPS, USD	**4.74**	**4.39**	**8.0%**	**4.26**	**11.2%**	**3.65**	**23.0%**	**4.27**	**11.0%**

Source: Company data, Visible Alpha, HSBC estimates

Microsoft: Actual vs guidance vs estimates

Non-GAAP	4Q26a			1Q27e		
(USDm)	Actual	Consensus	Prior Guidance	HSBC*	Consensus*	Guidance
Revenue	**90,007**	**87,705**	**87,250**	**92,170**	**89,998**	**90,400**
COGS	-29,525	-29,205	-29,500	-30,061	-29,795	-29,700
Gross profit	**60,482**	**58,500**	**57,750**	**62,109**	**60,203**	**60,700**
Gross margin	67.2%	66.7%	66.2%	67.4%	66.9%	67.1%
Operating costs	-19,879	-19,525	-19,350	-17,810	-17,499	-16,850
Operating profit	**40,603**	**38,976**	**38,400**	**44,299**	**42,704**	**43,850**

Source: Company data, Visible Alpha, HSBC estimates

Microsoft: Evolution of results

USDm, FYE June	1Q26	2Q26	3Q26	4Q26	1Q27e	2Q27e	3Q27e	4Q27e	1Q27 guidance
Revenue	**77,673**	**81,273**	**82,886**	**90,007**	**91,976**	**98,794**	**101,154**	**110,795**	**90,400**
Azure	23,569	24,103	26,947	31,103	34,383	37,612	40,961	45,985	
Rest of Microsoft	54,104	57,170	55,939	58,905	57,593	61,183	60,193	64,810	
Revenue: y-o-y	**18.4%**	**16.7%**	**18.3%**	**17.7%**	**18.4%**	**21.6%**	**22.0%**	**23.1%**	**16.4%**
Azure	40.0%	39.0%	40.0%	43.0%	45.9%	56.0%	52.0%	47.8%	
Rest of Microsoft	11.0%	9.3%	10.1%	7.7%	6.4%	7.0%	7.6%	10.0%	
Costs	-39,712	-42,998	-44,488	-49,404	-47,356	-51,171	-53,784	-60,221	
y-o-y	13.4%	13.2%	16.9%	17.3%	19.2%	19.0%	20.9%	21.9%	
Operating profit (Non-GAAP)	**37,961**	**38,275**	**38,398**	**40,603**	**44,619**	**47,623**	**47,370**	**50,574**	**43,850**
Margin	48.9%	47.1%	46.3%	45.1%	48.5%	48.2%	46.8%	45.6%	48.5%
One-off items	0	0	0	0	0	0	0	0	
Operating profit (GAAP)	**37,961**	**38,275**	**38,398**	**40,603**	**44,619**	**47,623**	**47,370**	**50,574**	
Margin	48.9%	47.1%	46.3%	45.1%	48.5%	48.2%	46.8%	45.6%	
Net profit (Non-GAAP)	**30,833**	**30,875**	**31,792**	**35,286**	**35,914**	**38,284**	**37,987**	**40,373**	
EPS (Non-GAAP) (USD)	**4.13**	**4.14**	**4.27**	**4.74**	**4.83**	**5.15**	**5.11**	**5.43**	
y-o-y	22.5%	23.4%	20.7%	29.9%	16.9%	24.4%	19.6%	14.5%	

Source: Company data, HSBC estimates

Strong growth at Azure

4QFY26 Azure growth came in at 43% y-o-y (constant currency), ahead of the previous company guidance of 39-40% growth and was against a tough comp of 39% growth in the previous year's quarterly result. Moreover, the company expects Azure growth to accelerate to 45% y-o-y (constant currency) in 1QFY27 (4QFY26: 43% y-o-y cc).

Cloud infrastructure providers on a surge

CY	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26
Revenue (USDm)										
AWS	25,037	26,281	27,452	28,786	29,267	30,873	33,006	35,579	37,587	NA
Google Cloud	9,574	10,347	11,353	11,955	12,260	13,624	15,157	17,664	20,028	24,768
Oracle Cloud as Infra	1,341	1,494	1,665	1,880	2,085	2,370	2,607	3,385	4,124	4,962
CoreWeave	189	395	584	747	982	1,213	1,365	1,572	2,078	
Microsoft: Azure*	14,472	15,647	16,835	17,340	19,248	21,750	23,569	24,103	26,947	31,103
Revenue growth (YoY)										
AWS	17%	19%	19%	19%	17%	17%	20%	24%	28%	NA
Google Cloud	28%	29%	35%	30%	28%	32%	34%	48%	63%	82%
Oracle Cloud as Infra	49%	42%	46%	61%	56%	59%	57%	80%	98%	109%
CoreWeave	NA	NA	NA	NA	420%	207%	134%	110%	112%	NA
Microsoft: Azure	35%	34%	33%	31%	33%	39%	40%	39%	40%	43%

Source: Company data, HSBC estimates *Even historical numbers estimated by HSBC

We expect Azure growth to remain in the mid-40% range through 2028e, although Google cloud growth is likely to exceed Microsoft Azure growth, in our opinion.

Cloud infrastructure providers: Expect strong growth to sustain

CY	2022	2023	2024	2025	2026e	2027e	2028e	2029e	2030e
Revenue (USDm)									
AWS	80,096	90,757	107,556	128,725	161,654	203,007	252,908	312,547	386,249
Google Cloud	26,280	33,088	43,229	58,705	111,170	187,915	277,669	NA	NA
Oracle Cloud as Infra	2,010	4,021	6,380	10,447	21,242	46,956	88,054	129,586	163,571
CoreWeave	16	229	1,915	5,131	12,540	24,592	36,455	46,056	53,156
Microsoft Azure*	37,324	48,292	64,295	88,670	130,044	192,751	274,439	357,651	465,325
Revenue growth (YoY)									
AWS		13.3%	18.5%	19.7%	25.6%	25.6%	24.6%	23.6%	23.6%
Google Cloud		25.9%	30.6%	35.8%	89.4%	69.0%	47.8%	NA	NA
Oracle Cloud as Infra		100.1%	58.6%	63.8%	103.3%	121.1%	87.5%	47.2%	26.2%
CoreWeave		1346.3%	736.6%	167.9%	144.4%	96.1%	48.2%	26.3%	15.4%
Microsoft Azure*		29.4%	33.1%	37.9%	46.7%	48.2%	42.4%	30.3%	30.1%

Source: Company data, HSBC estimates *Even historical numbers estimated by HSBC

The strong growth, however, is likely to come at the cost of heavy capex, amidst investor concerns about returns and free cash flow. However, we note that large mature technology companies typically struggle to find productive uses for their massive free cash flow streams and we think that current capital deployments are a good use of funds. Microsoft cosmetically cut its 2HCY26 implied capex guidance by 12% to USD107bn, largely on accounting changes. The company is increasing its estimated useful life for data centers to 25 years (from 15 years) starting 1QFY27 and this results in many financing leases being classified as operating leases. Assets acquired under financing leases are included in capex, while operating leases are not. But for the reduction caused by the accounting changes, Microsoft left its capex guidance unchanged, which could be seen as a positive by the market after Google and Meta raised capex guidance. Microsoft expects capex to rise further in FY27.

Hyperscaler and neo-cloud capex

CY	2022	2023	2024	2025	2026e	2027e	2028e
Capex (USDm)							
AWS	30,402	31,000	52,638	94,860	165,537	214,503	219,688
Google	31,485	32,251	52,535	91,447	205,000	250,000	312,500
Oracle	6,678	6,935	10,745	35,477	80,128	110,000	110,000
CoreWeave	72	2,943	8,702	10,309	38,675	36,246	28,675
Microsoft	28,400	41,200	75,600	118,000	175,702	238,800	268,620
META	31,186	27,045	37,256	69,691	137,771	172,896	181,896
Total Big 6	**128,223**	**141,374**	**237,476**	**419,785**	**802,812**	**1,022,445**	**1,121,378**
Capex (y-o-y)							
AWS	73.8%	2.0%	69.8%	80.2%	74.5%	29.6%	2.4%
Google	27.8%	2.4%	62.9%	74.1%	124.2%	22.0%	25.0%
Oracle	114.2%	3.8%	54.9%	230.2%	125.9%	37.3%	0.0%
CoreWeave		3964.9%	195.7%	18.5%	275.1%	-6.3%	-20.9%
Microsoft	3.3%	45.1%	83.5%	56.1%	48.9%	35.9%	12.5%
META	68.0%	-13.3%	37.8%	87.1%	97.7%	25.5%	5.2%
Total Big 6	**40.4%**	**10.3%**	**68.0%**	**76.8%**	**91.2%**	**27.4%**	**9.7%**

Source: Company data, HSBC estimates

In the context of rising capex, it is noteworthy that Microsoft expects FY27 free cash flow to remain positive. We estimate Microsoft will continue to earn a healthy 13-15% pre-tax ROIC on its cloud capex. Considering good ROIC, we are not unduly concerned about high capex.

Cloud infrastructure providers: Asset turnover, margins and ROIC

USDm, FYE Dec	2023	2024	2025	2026e	2027e	2028e	2029e	2030e
Asset turnover: Gross assets, ex wip and including leased assets								
Oracle: OCI	26.9%	29.6%	24.4%	20.9%	22.7%	26.2%	28.3%	29.1%
Amazon: AWS	100.6%	85.8%	66.7%	51.4%	41.4%	37.0%	35.7%	36.4%
Google Cloud	27.7%	33.1%	34.7%	40.7%	42.4%	42.4%	NA	NA
Microsoft *	38.9%	37.8%	37.5%	37.7%	36.4%	35.8%	34.6%	35.3%
CoreWeave	NA	NA	22.8%	23.5%	25.8%	26.8%	26.8%	26.7%
Non-GAAP operating margin								
Oracle: OCI*	17.6%	21.6%	25.7%	29.1%	29.5%	30.2%	31.0%	31.4%
Amazon: AWS	36.7%	45.1%	43.1%	44.4%	44.7%	45.0%	44.4%	43.9%
Google Cloud (GAAP)	5.2%	14.1%	23.7%	35.1%	35.6%	35.6%	NA	NA
Google Cloud (Non-GAAP)*	12.5%	20.6%	29.9%	41.3%	41.8%	41.8%	NA	NA
Microsoft *	39.0%	39.5%	40.0%	40.0%	40.0%	40.0%	40.0%	40.0%
CoreWeave	0.3%	18.6%	13.0%	6.9%	14.2%	16.4%	15.5%	15.1%
ROIC (Non-GAAP EBIT/Gross assets, ex wip and incl leased assets)								
Oracle: OCI	4.7%	6.4%	6.3%	6.1%	6.7%	7.9%	8.8%	9.1%
Amazon: AWS	36.9%	38.7%	28.8%	22.8%	18.5%	16.7%	15.9%	16.0%
Google Cloud: GAAP	1.4%	4.7%	8.2%	14.3%	15.1%	15.1%	NA	NA
Google Cloud: Non-GAAP	3.5%	6.8%	10.4%	16.8%	17.7%	17.7%	NA	NA
Microsoft	15.2%	15.0%	15.0%	15.1%	14.6%	14.3%	13.8%	14.1%
CoreWeave**	NA	6.5%	3.9%	2.1%	4.7%	5.6%	5.2%	4.9%

Source: Company data, HSBC estimates *Even historical numbers estimated by HSBC **ROIC rises to high single digit if we include the effect of customer advances

Microsoft: Evolution of asset turnover

USDm, FYE June	1Q26	2Q26	3Q26	4Q26	1Q27e	2Q27e	3Q27e	4Q27e
Azure revenue	**23,569**	**24,103**	**26,947**	**31,103**	**34,383**	**37,612**	**40,961**	**45,985**
y-o-y	40.0%	39.0%	40.0%	43.0%	45.9%	56.0%	52.0%	47.8%
Gross PP&E	**329,741**	**366,076**	**396,952**	**432,754**	**480,385**	**535,903**	**593,266**	**649,945**
Estimated construction wip	59,100	72,400	69,400	67,702	85,802	108,000	118,000	120,000
Gross PP&E used for non-cloud business	43,674	43,674	43,674	43,674	43,674	43,674	43,674	43,674
Gross PP&E ex wip constr less used for non-cloud	**226,967**	**250,002**	**283,878**	**321,378**	**350,909**	**384,229**	**431,592**	**486,271**
Ann Azure revenue/Avg gross PP&E - cwip - non-cloud	43.2%	40.4%	40.4%	41.1%	40.9%	40.9%	40.2%	40.1%
Operating lease ROU assets	24,791	25,103	24,403	24,177	27,097	30,568	34,078	37,448
Gross PP&E -cwip -non cloud + op leased assets	**251,758**	**275,105**	**308,281**	**345,555**	**378,006**	**414,797**	**465,671**	**523,719**
Ann Azure rev/Avg gross PP&E - cwip - non cloud + leased	38.8%	36.6%	37.0%	38.1%	38.0%	38.0%	37.2%	37.2%

Source: Company data, HSBC estimates

Remaining performance obligations surge

Remaining performance obligations surged 82% y-o-y to USD684bn in 4QFY26 (3QFY26: USD633bn). The company emphasized the entire USD51bn q-o-q increase in RPO is on account of customers that are not frontier LLM model providers. RPO excluding OpenAI rose 25% y-o-y.

Exposure to frontier model an investor concern
We note investor concerns around hyperscalers' high exposure to frontier LLM model providers (mainly OpenAI and Anthropic). Microsoft likely tried to allay some of these concerns by showcasing growth ex OpenAI. We estimate OpenAI and Anthropic accounted for 42% and 4.4% of the RPO at the end of 2QFY26. That said, we see strong global inference growth on the near-term horizon as global enterprises adopt AI into their core enterprise business system. Ultimately, if a single large user were to back out of its AI infrastructure commitments, we believe that this free capacity could be consumed quickly by overall strong global market demand.

Most hyperscalers have significant exposure to OpenAI and Anthropic

USDm	Oracle	Amazon	Google	Microsoft	CoreWeave
Total RPO	**638,000**	**464,000****	**519,500**	**684,000**	**98,800**
OpenAI	300,000	138,000	NA	283,950	22,400
Anthropic	NA	100,000*	259,750#	30,000	NA
Meta	NA	NA	-	-	35,000
Other	338,000	226,000	259,750	370,050	41,400
Total RPO	**100%**	**100%**	**100%**	**100%**	**100%**
OpenAI	47%	30%	NA	42%	23%
Anthropic	NA	22%	50%	4%	NA
Meta	NA	NA	0%	0%	35%
Other	53%	49%	50%	54%	42%

#USD200bn deal announced, we added a further estimated figure *Only USD100bn of "additional order" announced. We believe total RPO attributable to Anthropic will likely be higher than to OpenAI given Amazon's closer ties to Anthropic. **Including USD100bn over 10-year deal with Anthropic that was not included in the last reported RPO
Source: Company data, HSBC estimates

Direct monetization accelerating

Microsoft is moving rapidly to monetize AI beyond merely providing compute capacity to LLM model providers. Microsoft 365 CoPilot users increased to 30m in 4QFY26 from 20m in 3QFY26 (2QFY26: 15m). We estimate Microsoft could be earning USD6.4bn ARR from CoPilot users (assuming an average incremental ARPU of USD18/month, assuming enterprise discounts vs USD30/month advertised price). Despite the q-o-q surge CoPilot users account for only c5% of total M365 subscribers, suggesting a long runway of growth.

ASIC development continues

Microsoft reiterated that its in-house Maia 200 chip offers 30% better performance per dollar than the "latest generation hardware in its fleet" (likely referring to Nvidia GPU's). Maia 200 continues to scale, according to the company although Microsoft did not specify the exact scale of deployment.

In-house LLM plans delivering

The company vexed eloquent about the price to performance ratio of its in-house MAI LLM model. According to Microsoft:

- Millions of developers have used MAI-Code-1-Flash on GitHub Copilot, achieving higher code acceptance rates and 10% lower median token usage while still having access to frontier capabilities from OpenAI and Anthropic.
- In Excel, MAI-Code-1-Flash is delivering comparable quality to GPT-5.6 for the most common task, while operating at significantly lower costs.
- In security, MAI-Cyber-1-Flash achieves better performance than a much larger Mythos model, but at half the cost when combined with Microsoft's multi-agent security harness.
- More broadly, across its model implementations, Microsoft is seeing significant efficiency gains, including 89% reduction of GPU costs in Dynamics 365 with MAI-Voice-2-Flash and up to 84% reduced GPU costs in PowerPoint with MAI-Image-2.5.

Development of in-house LLM is likely to reduce token costs for Microsoft while also reducing its dependence on frontier LLM model providers such as OpenAI and Anthropic.

FCF should bottom in FY27e

We expect FCF to bottom at cUSD5bn in FY27e. Microsoft should largely retain its net cash position throughout our forecasting horizon, although we expect a small USD6bn net debt position in FY27e.

Microsoft: Summary sheet

USDm, FYE June	2020	2021	2022	2023	2024	2025	2026e	2027e	2028e	2029e	2030e
Revenue	**143,015**	**168,088**	**198,270**	**211,915**	**245,122**	**281,724**	**331,839**	**402,719**	**501,990**	**610,007**	**728,696**
y-o-y		17.5%	18.0%	6.9%	15.7%	14.9%	17.8%	21.4%	24.7%	21.5%	19.5%
Costs	-90,056	-98,172	-114,887	-122,221	-135,689	-153,196	-176,602	-212,533	-270,122	-331,198	-402,393
y-o-y		9.0%	17.0%	6.4%	11.0%	12.9%	15.3%	20.3%	27.1%	22.6%	21.5%
Operating profit (Non-GAAP)	**52,959**	**69,916**	**83,383**	**89,694**	**109,433**	**128,528**	**155,237**	**190,186**	**231,868**	**278,809**	**326,303**
Margin	37.0%	41.6%	42.1%	42.3%	44.6%	45.6%	46.8%	47.2%	46.2%	45.7%	44.8%
One-off items	0	0	0	-1,171	0	0	0	0	0	0	0
Operating profit (GAAP)	**52,959**	**69,916**	**83,383**	**88,523**	**109,433**	**128,528**	**155,237**	**190,186**	**231,868**	**278,809**	**326,303**
Margin	37.0%	41.6%	42.1%	41.8%	44.6%	45.6%	46.8%	47.2%	46.2%	45.7%	44.8%
Net profit (Non-GAAP)	**44,281**	**60,651**	**69,447**	**73,307**	**88,136**	**103,877**	**128,786**	**152,559**	**187,360**	**222,645**	**261,802**
EPS (Non-GAAP) (USD)	**5.76**	**7.97**	**9.21**	**9.81**	**11.80**	**13.92**	**17.28**	**20.51**	**25.15**	**29.76**	**34.81**
y-o-y		38.4%	15.6%	6.5%	20.3%	18.0%	24.1%	18.7%	22.6%	18.3%	17.0%
Total debt	63,327	58,146	49,781	47,237	51,630	43,151	40,294	52,294	64,294	52,294	24,294
Cash	136,527	130,334	104,757	111,262	75,543	94,565	76,843	45,915	67,233	96,798	174,784
Net debt	**-73,200**	**-72,188**	**-54,976**	**-64,025**	**-23,913**	**-51,414**	**-36,549**	**6,379**	**-2,939**	**-44,504**	**-150,490**
Operating cash flow	60,675	76,740	89,035	87,582	118,548	136,162	182,935	233,103	302,110	375,320	457,910
Capex	-19,000	-24,200	-29,200	-31,900	-55,700	-88,200	-140,102	-228,000	-250,800	-288,420	-302,841
FCF	**41,675**	**52,540**	**59,835**	**55,682**	**62,848**	**47,962**	**42,833**	**5,103**	**51,310**	**86,900**	**155,069**

Source: Company data, HSBC estimates

Changes in HSBC estimates

There are no material changes to our estimates. We were already ahead of consensus and were modelling strong growth. The reduction in capex assumed below is cosmetic in nature. The new accounting policy could result in c12% reduction to reported capex. We cut our long-term reported capex estimate 5% by incorporating a c7% increase in underlying capex due to high component cost inflation and broader rising trends for capex in the sector.

Microsoft: Changes in HSBC estimates

FYe June, USDm	2022	2023	2024	2025	2026	2027e	2028e	2029e	2030e
Revenue									
Old	198,270	211,915	245,122	281,724	331,146	406,005	509,116	613,058	722,133
New	198,270	211,915	245,122	281,724	331,839	402,719	501,990	610,007	728,696
% change	0.0%	0.0%	0.0%	0.0%	0.2%	-0.8%	-1.4%	-0.5%	0.9%
Non-GAAP operating profit									
Old	83,383	89,694	109,433	128,528	154,721	189,042	232,681	277,281	320,034
New	83,383	89,694	109,433	128,528	155,237	190,186	231,868	278,809	326,303
% change	0.0%	0.0%	0.0%	0.0%	0.3%	0.6%	-0.3%	0.6%	2.0%
Non-GAAP net profit									
Old	69,447	73,307	88,136	103,877	126,164	153,130	187,321	220,538	255,902
New	69,447	73,307	88,136	103,877	128,786	152,559	187,360	222,645	261,802
% change	0.0%	0.0%	0.0%	0.0%	2.1%	-0.4%	0.0%	1.0%	2.3%
Non-GAAP EPS									
Old	9.21	9.81	11.80	13.92	16.93	20.59	25.15	29.51	34.09
New	9.21	9.81	11.80	13.92	17.28	20.51	25.15	29.76	34.81
% change	0.0%	0.0%	0.0%	0.0%	2.1%	-0.4%	0.0%	0.8%	2.1%
Capex									
Old	29,200	31,900	55,700	88,200	145,300	240,000	264,000	303,600	318,780
New	29,200	31,900	55,700	88,200	140,102	228,000	250,800	288,420	302,841
% change	0.0%	0.0%	0.0%	0.0%	-3.6%	-5.0%	-5.0%	-5.0%	-5.0%

Source: Company data, HSBC estimates

Attractive valuation

Comparative valuation using share-based compensation as a real expense

Company	Ticker	Rating	CMP	TP	PE (non-GAAP, after SBC)				EV/EBIT (non-GAAP, after SBC)				EPS CAGR	PEG
			(USD)	(USD)	CY25	CY26e	CY27e	CY28e	CY25	CY26e	CY27e	CY28e	26-28e	26e
Oracle	ORCL US	Buy	117.74	316.00	22.4	20.9	17.1	12.0	15.5	12.8	10.7	8.4	32.0%	0.65
Apple	AAPL US	Buy	338.19	366.00	43.3	36.7	32.3	29.9	36.0	30.0	26.2	23.9	10.8%	3.39
Adobe	ADBE US	Buy	263.43	308.00	15.6	13.3	12.0	10.8	12.4	10.9	9.7	8.5	11.3%	1.18
Autodesk	ADSK US	Buy	245.25	357.00	46.2	36.3	26.7	23.9	27.2	20.6	17.3	14.8	23.2%	1.57
Salesforce	CRM US	Buy	188.38	356.00	19.5	17.3	15.7	13.5	17.4	15.3	12.7	10.7	13.5%	1.28
CoreWeave	CRWV US	Reduce	60.82	36.00	-23.8	-13.5	-16.5	-33.5	1,183.3	2,053.9	43.3	23.1	NA	NA
Fair Isaac	FICO US	Reduce	1,373.08	707.00	51.8	31.5	30.7	31.3	36.8	23.1	22.8	23.4	0.4%	80.43
HP	HPQ US	Buy	28.41	29.60	8.9	8.6	8.1	7.4	8.1	7.7	7.4	6.8	7.5%	1.14
IBM	IBM US	Reduce	226.44	174.00	19.5	18.6	18.4	16.3	17.4	16.8	15.4	13.4	6.7%	2.76
Intuit	INTU US	Buy	333.13	707.00	20.3	17.1	14.0	12.4	15.8	12.5	9.8	7.9	17.4%	0.99
Meta	META US	Buy	585.61	830.00	NA	18.6	16.7	14.5	17.8	17.4	14.8	12.8	13.1%*	1.42
Microsoft	MSFT US	Buy	390.54	595.00	25.3	20.6	17.3	14.2	20.1	16.8	13.9	11.3	20.3%	1.02
ServiceNow	NOW US	Buy	115.76	179.00	NA	52.2	41.5	30.5	51.3	45.6	35.7	25.6	30.8%	1.70
Palantir	PLTR US	Hold	123.00	151.00	256.2	106.7	70.7	60.2	196.4	82.3	52.9	45.0	33.1%	3.22
SAP (EUR)	SAP GR	Buy	162.04	196.00	26.5	23.2	19.5	17.2	17.9	15.9	13.2	11.4	16.0%	1.45
Snowflake	SNOW US	Buy	282.90	289.00	-84.6	-108.7	-147.2	-179.8	-88.9	-94.2	-118.7	-143.6	NA	NA
SpaceX	SPCX US	Hold	112.55	115.00	-47.8	-160.5	-201.0	-299.4	-81.6	-321.4	-214.3	-384.5	NA	NA
TE Connectivity	TEL US	Hold	206.95	216.00	21.7	17.7	15.9	14.4	18.0	14.4	12.7	14.1	11.0%	1.61
Median					**22.4**	**20.6**	**17.3**	**14.2**	**17.4**	**16.0**	**13.4**	**11.3**	**18.8%**	**1.41**

Source: LSEG Datastream, Company Data, HSBC estimates *Priced on 29 July 2026

Microsoft shares are trading at a historically low level of 17.3x CY27e non-GAAP PE (in-line with the sector median). We consider the valuation attractive as we expect Microsoft's non-GAAP EPS to rise at a CY26-28e CAGR of 20.3% (sector median 18.8%). If we use Datastream consensus, Microsoft shares are trading at 19.9x P/NTM non-GAAP EPS vs 29x average over the last five years.

Our TP of USD595 (from USD567) is based on 29x our NTM non-GAAP EPS estimate of USD20.51 (from USD19.56). We conservatively use the same P/NTM multiple as the average over the last five years, even though we expect strong Azure growth to drive an even higher EPS CAGR for Microsoft going forward than was realized historically.

Our TP implies 52.4% upside and we maintain our Buy rating.

Downside risks: Higher-than-expected competitive intensity, weaker-than-expected stock market or macroeconomic environment, adverse regulatory action, higher than expected competitive pressures in the GPU cloud space, default by major customers (particularly AI labs), and cybersecurity risks.

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Hold	34%	(10% of these provided with Investment Banking Services in the past 12 months)
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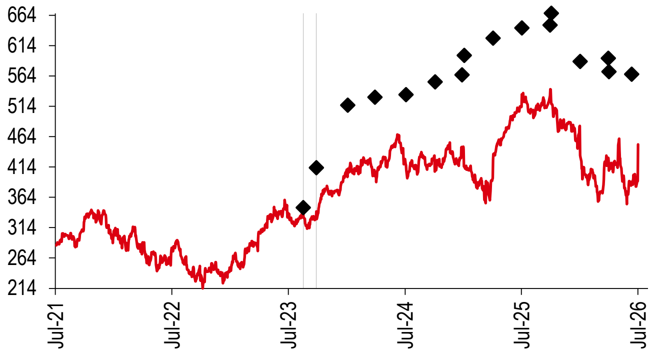
Share price and rating changes for long-term investment opportunities

Microsoft (MSFT.O) share price performance USD Vs HSBC rating history



Source: HSBC

Rating & target price history

From	To	Date	Analyst
Add	Terminated	22 Feb 2010	
N/A	Hold	14 Sep 2023	Stephen Bersey
Hold	Buy	25 Oct 2023	Stephen Bersey
Target price	**Value**	**Date**	**Analyst**
Price 1	32.50	18 Oct 2002	
Price 2	347.00	14 Sep 2023	Stephen Bersey
Price 3	413.00	25 Oct 2023	Stephen Bersey
Price 4	516.00	01 Feb 2024	Stephen Bersey
Price 5	529.00	26 Apr 2024	Stephen Bersey
Price 6	533.00	01 Aug 2024	Stephen Bersey
Price 7	554.00	01 Nov 2024	Stephen Bersey
Price 8	566.00	24 Jan 2025	Stephen Bersey
Price 9	598.00	31 Jan 2025	Stephen Bersey
Price 10	626.00	01 May 2025	Stephen Bersey
Price 11	643.00	31 Jul 2025	Stephen Bersey
Price 12	648.00	27 Oct 2025	Stephen Bersey
Price 13	667.00	31 Oct 2025	Stephen Bersey
Price 14	588.00	29 Jan 2026	Stephen Bersey
Price 15	593.00	28 Apr 2026	Stephen Bersey
Price 16	571.00	30 Apr 2026	Stephen Bersey
Price 17	567.00	10 Jul 2026	Stephen Bersey

Source: HSBC

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Company	Ticker	Recent price	Price date	Disclosure
MICROSOFT	MSFT.OQ	451.10	30 Jul 2026	6, 7

Source: HSBC

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1. This report was produced and signed off by the author on 31 Jul 2026 04:38 GMT.
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